

What is Intrinsic Value

What is the intrinsic value of a share? How is it determined? Fundamental analysis propounds that the intrinsic value is, and has to be, based on the benefits that accrue to investors in the share. As the return to shareholders is in the form of dividends, under strict fundamental analysis, the present value of future dividends discounted on the basis of its perceived safety or risk is its intrinsic value. The intrinsic value is based on the dividend because that is what a shareholder or investor receives from a company, and not on the earnings per share of the company. This distinction is very important.